



BY D.K. SRIVASTAVA

Medium-term Growth in Focus

By adhering to fiscal reforms, the Budget has provided a solid foundation for robust medium-term growth in India

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THE 2024-25 UNION Budget adheres to the fiscal reform path established during 2014-15 to 2023-24 which included amendment to the Fiscal Responsibility and Budget Management (FRBM) Act in 2018, steady reduction in major subsidies relative to GDP, direct benefit transfers, implementation of GST, and extensive corporate tax reforms. The Budget remains committed to an investment-led growth strategy and an accelerated fiscal consolidation endeavour. The fiscal space has been utilised for maintaining the infrastructure expansion momentum.

MACRO MATHS

In this Budget, with an underlying nominal GDP growth assumption of 10.5% and an assumed tax buoyancy of 1.03 in FY25, a growth of 10.8% in gross tax revenues has been budgeted, yielding an amount of ₹38.4 lakh crore. However, due to higher budgeted tax devolution to states as compared to the Interim Budget, the government's net tax revenue at ₹25.83 lakh crore in the final Budget is lower by ₹18,000 crore. By adding non-tax revenues of ₹5.46 lakh crore, which includes the Reserve Bank of India's enhanced

dividends, the resultant revenue receipts amounted to ₹31.29 lakh crore in 2024-25. By adding non-debt capital receipts of ₹78,000 crore, aggregate non-debt receipts are estimated at ₹32.07 lakh crore.

Further, by accelerating the pace of fiscal consolidation, with a target fiscal deficit-to-GDP ratio of 4.9% instead of 5.1%, a fiscal deficit

magnitude of ₹16.13 lakh crore has been budgeted. Thus, total expenditure amounts to ₹48.2 lakh crore, which is divided into revenue and capital expenditures in the ratio of 77:23. Capital expenditure has been maintained at its Interim Budget level of ₹11.11 lakh crore, while revenue expenditure has increased by 6.2% over FY24.

ILLUSTRATION BY PRABAL BISWAS

